INTEGRATED STAKEHOLDER ENGAGEMENT

GRI: 2-29

We continuously strive to enrich the lives of our stakeholders. Our long-term strategy is geared to empower individuals towards financial freedom. We recognise that fulfilling this commitment necessitates an in-depth understanding of our stakeholders and their aspirations. Hence, meaningful engagement with our diverse stakeholder groups is paramount to our success.

STAKEHOLDER ANALYSIS AND ENGAGEMENT PROCESS

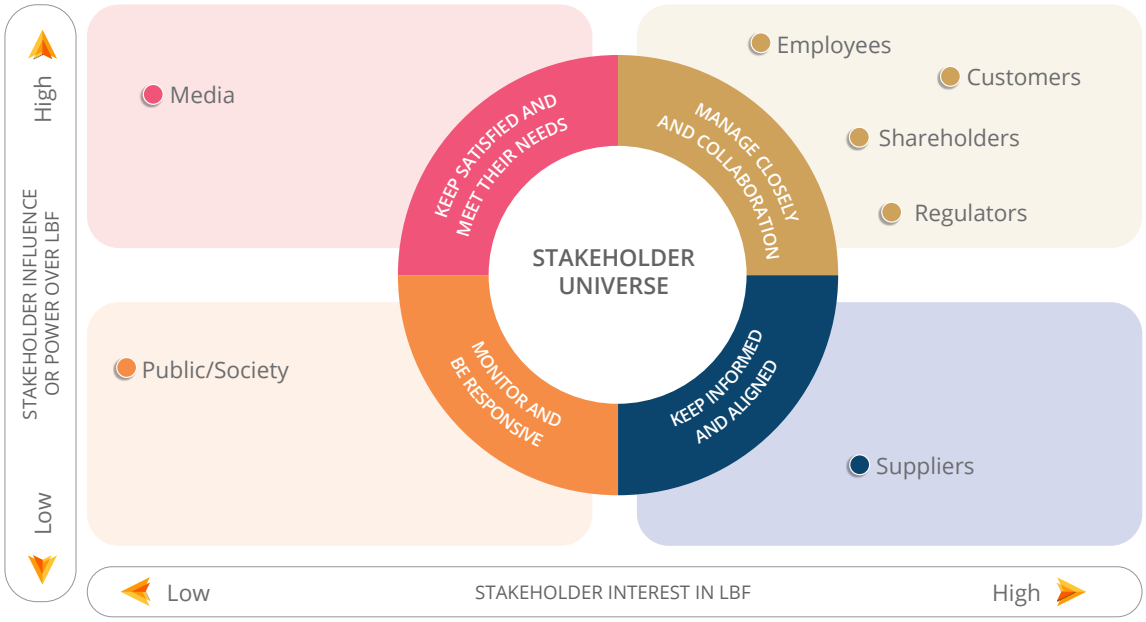
We adopt a eight-point stakeholder engagement model to engage proactively and interactively with our stakeholders. Acknowledging the dynamic financial landscape and evolving social trends, we emphasise the importance of regularly assessing and adjusting engagement strategies to address stakeholders' changing needs and expectations.

This approach enables alignment with stakeholders' concerns amid a continuously evolving operating context.

By conducting a thorough review of our engagement mechanisms, we identified areas for improvement. This enabled us to refine integrating stakeholder engagement into our value creation process.

Hey there! Interested in checking out our Value Creation Scorecard? Just follow the link to dive in!

STAKEHOLDER MAPPING



It is important to strike a balance between the expectations of key stakeholders for the long-term sustainability of our business. The effectiveness of our business model is closely tied to the contributions made by these stakeholders. The table below illustrates our engagement mechanisms to manage our relationships with multiple stakeholders.

VALUE CREATION AND DISTRIBUTION

Stakeholder engagement is a core component of our social and financial value creation as both an input and an outcome. Our stakeholder-focused, value-added statement demonstrates how financial value is created and distributed to our stakeholders.

DISTRIBUTABLE INTEREST INCOME	+	DISTRIBUTABLE FEE AND OTHER INCOME	-	DISTRIBUTABLE OPERATING COST	=	NET VALUE CREATED
Rs. 45.86 Bn (2022/23 Rs. 39.64 Bn)		Rs. 3.36 Bn (2022/23 Rs. 3.11 Bn)		Rs. 4.57 Bn (2022/23 Rs. 4.08 Bn)		Rs. 44.65 Bn (2022/23 Rs. 38.67 Bn)

Funders

We distributed 47.35% (2022/23: 52.79%) of the value created to depositors and lenders through the payment of interest on deposits and debt

Rs. 21.14 Bn

Employees

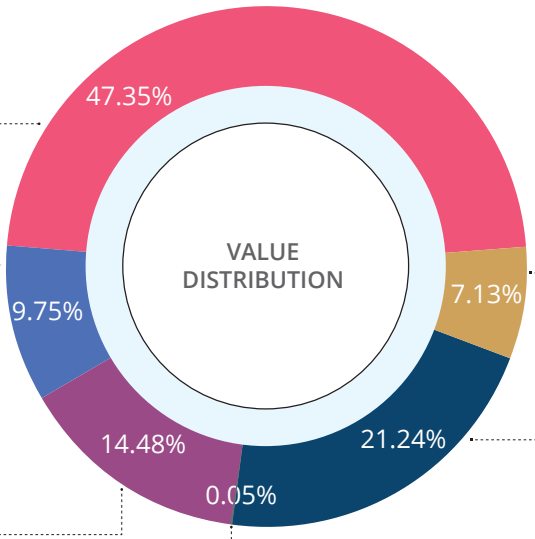
We distributed 9.75% (2022/23: 9.14%) of the value created to employees through remuneration and benefits

Rs. 4.35 Bn

Value retained

We retained 14.48% (2022/23: 5.27%) of the value created to liquidity support and allocate capital expenditure

Rs. 6.46 Bn



Capital providers

We distributed 7.13% (2022/23: 8.84%) of the value created to investors through the payment of dividends

Rs. 3.18 Bn

Government

We distributed 21.24% (2022/23: 23.90%) of the value created to government through the payment of taxes

Rs. 9.48 Bn

Community

We distributed 0.05% (2022/23: 0.06%) of the value created to community through CSR projects

Rs. 0.02 Bn

MATERIAL THEMES AND TOPICS

CUSTOMERS

Relevant Capitals: SC, MC

Relevant SDGs: 8, 9, 11, 17

Engagement Mechanism	Frequency
Interactions with branch teams	Continuous
Mass/digital media advertising campaigns	Continuous
Emails	As required
Corporate website	Continuous
Propaganda vehicle	Continuous
Product and service brochures	As required
Product launches	As required
Market surveys	Annually
Call centre	Continuous
Customer visits	As required
Social media platforms	Continuous

Customer concerns

- Efficient service
- Access to finance
- Product and service innovation
- Data privacy
- Customer security
- Fair selling practices
- Financial literacy
- Grievances handling

Our strategic response/value proposition

- Strengthening the branch proposition to facilitate better access to financial services in both local and regional markets
- Introducing relevant new products and services to meet customer needs
- Investing in expanding digital ecosystems to facilitate access to digital financial solutions
- Investing in information security

Future focus

- To provide sound financial advice and financial consumer education
- To access 24/7 world-class innovative solutions and services
- To enjoy convenient access to banking that is cost-effective, user-friendly and flexible
- To protect their investment and information through secure information technology (IT) systems and infrastructure
- To provide competitive financial solutions

SHAREHOLDERS

Relevant Capitals: SC, FC

Relevant SDGs: 8, 9, 12

Engagement Mechanism	Frequency
Annual reports and AGMs/EGMs	Annually/ As required
Financial results	Annually/ Quarterly
CSE announcements	As required
General correspondence	As required
Press releases	As required
Corporate website	Continuous
Feedback surveys	As required

Shareholder concerns

- Financial performance and dividends
- Improved market presence
- Investor confidence
- Adaptability to dynamic economic conditions

Our strategic response/value proposition

- Ensuring sound risk management process
- Ensuring robust governance and internal control framework
- Accelerating market development activities
- Offering incremental growth in shareholder returns
- Ensuring strong capital and liquidity levels

Future focus

- To provide current and future shareholders with relevant and timely information
- To maintain strong relationships, keep abreast of market developments, and inform our shareholders of ongoing developments regarding our strategy execution
- To ensure good governance and trust-based relationships
- To become a compelling listing proposition

EMPLOYEES

Relevant Capitals: SC MC HC

Relevant SDGs: 5 10 16

Engagement Mechanism	Frequency
Staff meetings	As required
Performance appraisal	Annually
Social media platforms	Continuous
E-publications	Monthly
Notifications	As required
Emails	As required
Training programmes and workshops	As required
Post-training feedback	As required
One-on-one engagement	Continuous
Focus group sessions	As required

Employee concerns

- Comprehensive benefit package
- Reward and recognition
- Equality and diversity
- Career development opportunities
- Work-life balance

Our strategic response/value proposition

- Establishing "Pinnacle Club" to recognise high performers
- Engaging in management development programmes for identified employees with potential
- Implementing extensive employee engagement activities
- Facilitating equality through HR policies and procedures
- Providing performance-based rewards and recognition
- Providing a comprehensive wellness programme to nurture a healthy work-life balance

Future focus

- To ensure we proactively address employees' concerns, expectations and opportunities
- To have strong relationships that will contribute towards LBF being a 'Top Employer' within our sector
- To ensure clear, regular and transparent communications within the staff
- To ensure that all matters impacting the primary conditions of employment are addressed through collective bargaining
- To promote fairness and equality

COMMUNITY

Relevant Capitals: SC HC NC

Relevant SDGs: 1 2 4 6 13 15

Engagement Mechanism	Frequency
Individual engagements	As required
Press publication	As required
Corporate website	Continuous
Social media	Continuous
Public events	As required

Community concerns

- Ethical business conduct
- Responsible corporate citizen
- Support for socioeconomic growth

Our strategic response/value proposition

- Donating IT infrastructure to a government hospital
- Continuing tree planting projects
- Skill development programmes with selected universities
- Empowering women entrepreneurs

Future focus

- To engage community representatives to ensure that our products and services remain relevant and needed
- To provide accessible financial education to our communities
- To be a sustainable organisation that proactively drives environmental protection and socioeconomic socio-economic development

REGULATORS

Relevant Capitals: SC, FC

Relevant SDGs: 8, 9, 11, 16

Engagement Mechanism	Frequency
Meetings	As required
Directives and circulars	As required
Telephone discussions	As required
On-site and off-site examinations	As required
Periodic or thematic assessments	As required
Participation in forums	As required

Regulator concerns

- Strong governance and compliance
- Business transparency
- Ethical business operations
- Financial system stability

Our strategic response/value proposition

- Ensuring timely submission of regulatory reports and returns
- Ensuring timely tax payments
- Ensuring appropriate due diligence to maintain 100% compliance

Future focus

- Ensure continuous compliance with new regulations and directions
- Continuous support to regulators in developing macro economic policies for financial sector stability
- Invest in training and education programmes to ensure employees understand and comply with regulatory requirements

BUSINESS PARTNERS

Relevant Capitals: SC, MC

Relevant SDGs: 9, 17

Engagement Mechanism	Frequency
Field visits	As required
Service agreements	Annually
Supplier appraisal	As required
Meetings	As required

Business partners concerns

- Timely payments
- Fair dealings
- Transparency
- Competitive pricing
- Maintaining healthy relationships

Our strategic response/value proposition

- Communicating the Company's policies and procedures
- Continuous engagement

Future focus

- To negotiate mutually beneficial commercial agreements
- To develop suppliers that will serve us and the financial sector over the long-term
- To develop new businesses that meaningfully contribute to the economy
- To promote local procurement

Our stakeholder goals drive us forward, articulating the value we seek to deliver for each of our key stakeholders, and therefore serve to inform our strategy.

Key stakeholders	Goals	Level of relationship	Level of engagement
Shareholders	Sustained growth and wealth maximisation	■■■□□	Consult
Customers	Customer at the center of the business	■■■■■	Involve
Employees	Career progress and best place to work	■■■■■	Collaborate
Communities	Empowering communities through CSR	■■□□□	Collaborate
Regulators	Full statutory compliance	■■■■□	Collaborate
Business partners	Sustainable business practices	■■■□□	Collaborate